Daraz.pk: Online Marketplace's Value Chain

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Abstract

This case study provides an understanding of the channels through which orders at an online retail platform are fulfilled. Daraz.pk, the pioneering and leading e-commerce platform in Pakistan, started in 2012 as an online fashion retailer and evolved into a general marketplace for brands selling items ranging from electronics to home appliances to fashion. The case study is built around the decision regarding how to engage international brands in the wake of increasing local completion and the potential entry of some established international players. Highlighting the decision's implications on logistics (and vice versa), this case study exposes various important trade-offs between in-house inventory and vendor-managed inventory. Through the example of a sales-day event conducted by Daraz, this case study also brings to light various strains that logistics could potentially face because of demand hikes and the steps that could help in managing a situation like this.

Keywords

Online retail logistics, international sourcing, vendor managed inventory (VMI), supply chain monitoring, demand hikes

Muneeb Mayer, the CEO and co-founder of Daraz.pk, Pakistan's leading online retail platform, had barely settled down in his office when he picked up the just-received 2015 operational performance report. On his way to the office, Muneeb had thought about operationalizing the decision to list international brands on Daraz.pk. He considered three options: first, to establish Daraz's own inventory of branded products via import; second, to ask brands to hire a distributor in Pakistan from whom Daraz could then source the products; and third, to request brands to enter Pakistan, import their inventory and then sell it through Daraz, without a distributor. The first option would put a financial burden on Daraz in terms of paying import duties and inventory cost, the second would add another player to the chain, whereas the third option might discourage the brands as they would have to set a foot and invest in a new market themselves. Skimming through the report, Muneeb noticed that the rates of late deliveries and returns because of quality issues had not reduced much since the previous report, which also made him

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wonder about the performance of his existing logistical models. Under the pressure from the existing and potential competition, alongside investors' targets for growth and profit, Muneeb urgently wanted to evaluate the options to offer international brands in conjunction with the on-going logistical setup. He sensed the entry of major global e-commerce players in the near future with a fear that they could dominate the vibrant domestic e-commerce market with their potentially wide assortment.

The Market

The 'dot com' culture had taken off in Pakistan over the last decade with a significant growth in commercial websites. This boom in e-commerce had occurred subsequent to a rising internet penetration. In 2015, there had been 31 million internet users, translating to around 16.6 per cent penetration (percentage of population), which had more than doubled since 2010 (Internet Live Stats, 2016; Figure 1). One of the stepping-stones for internet access and e-commerce had been the introduction of 3G and 4G mobile network services in the country in 2014 when the total number of cellular subscriptions were around 120 million (Figure 2). By the end of 2015, the number of 3G/4G subscribers had exceeded 23 million in Pakistan (Pakistan Telecom Authority [PTA], 2017); the number was growing at a rate of around 1 million users every month (*The Express Tribune*, 2015b; Figure 3).

The country's e-commerce market was expected to surpass US$100 million in 2015 from US$60 million in 2014 (*The Express Tribune*, 2015a). The increasing use of social media also played a crucial role in the evolution of the e-commerce industry that had capitalized on using it as a tool for engaging with customers and for advertising (*The Express Tribune*, 2013). The most frequent online visitors and buyers fell in the 18–34 years age group (A Report on e-Commerce Trends in Pakistan). In terms of geographical distribution, more than 50 per cent of the e-commerce activity in the country was

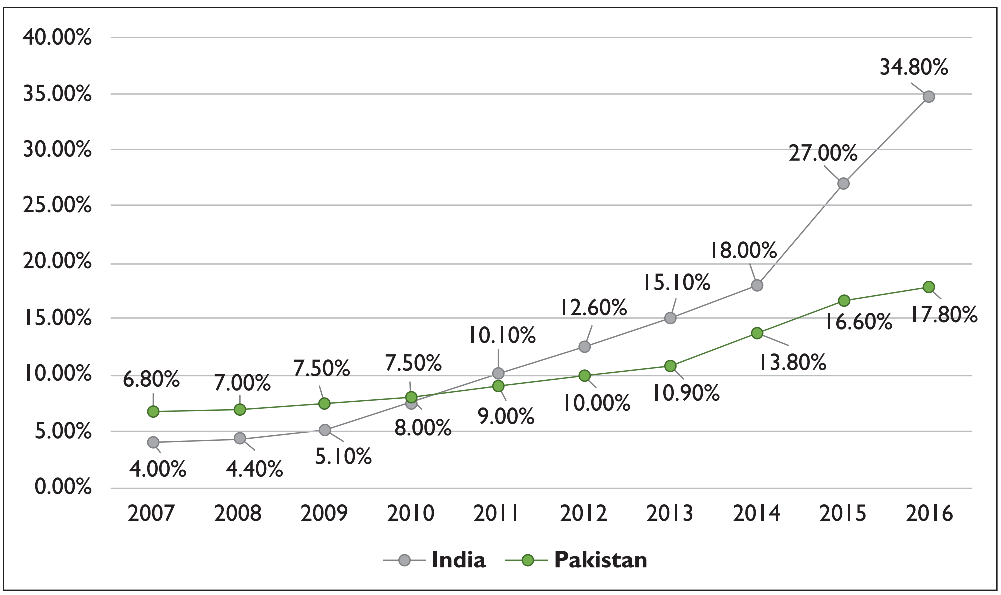

Figure 1. Internet Penetration

Source: Internetlivestats.com

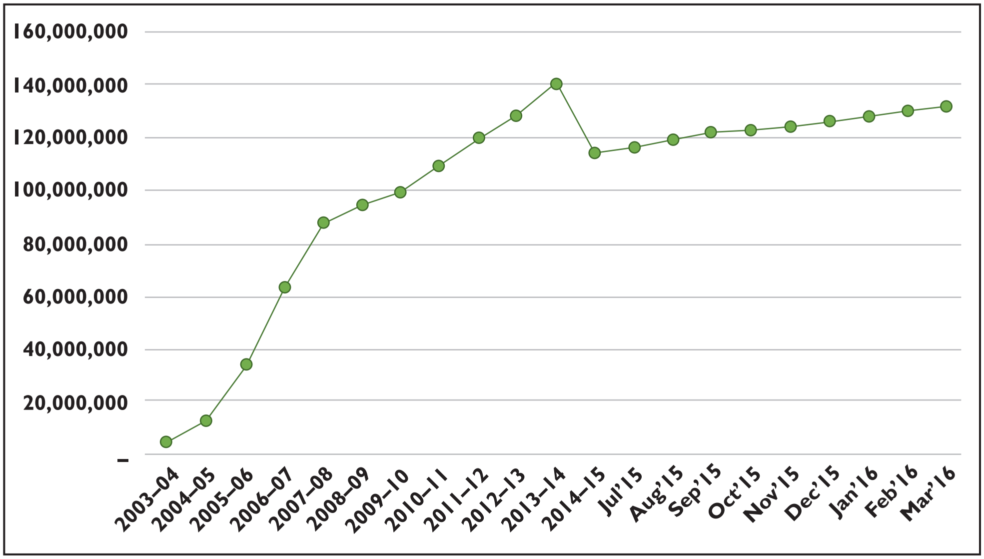

Figure 2. Annual Cellular Subscription in Pakistan

Source: Pakistan Telecom Authority.

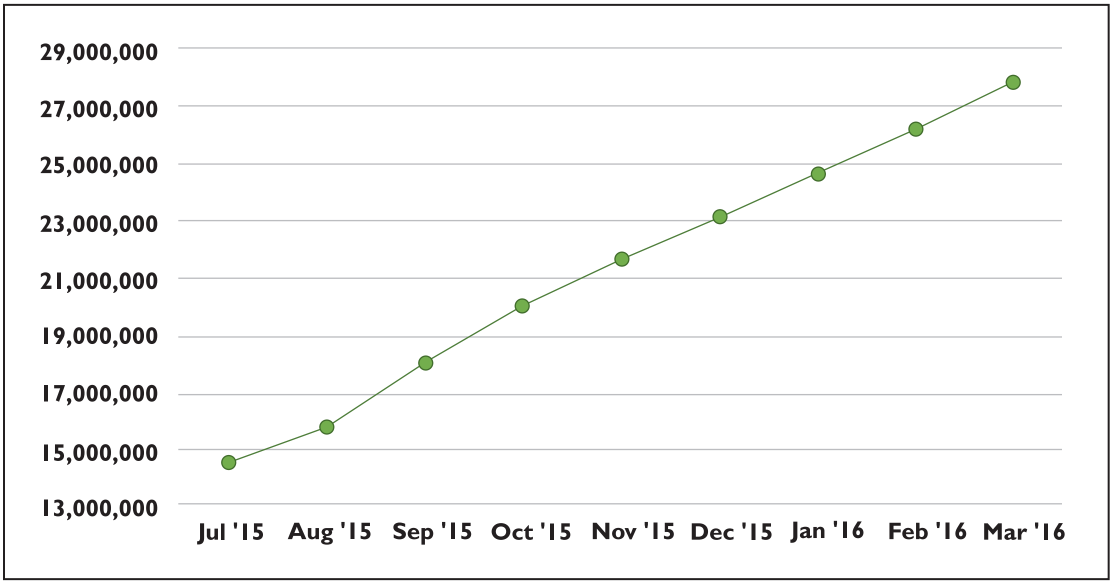

Figure 3. 3G/4G Subscription in Pakistan

Source: Pakistan Telecom Authority.

concentrated in the three major cities Lahore, Karachi and Islamabad, owing to the comparatively high rates of internet literacy.

E-commerce in neighbouring country India had also witnessed a boom in the past years. India's online retail market had tripled from US$4.4 billion in 2010 to US$13.6 billion in 2014 with an expectation to reach US$38 billion in 2016 and US$1 trillion by the year 2020 (Gadgets 360, 2016). The key driver of Indian e-commerce had been the rapid boost of broadband internet penetration (*The Economist*, 2016a). The gross merchandize volume of the top three e-commerce companies exceeded that of the top ten offline retailers (*The Economic Times*, 2016). E-commerce in India had a big impact on shopping malls and chain stores and it was expected that malls and chains will not become as prevalent there as they had been in the West (*The Economist*, 2016b). Being on a similar digital trajectory that India was on a few years ago and with its strengthening internet backbone, highest mobile phone penetration in South Asia (with 90 per cent geographical coverage), and malls that still had a low customer reach, Pakistan was expected to follow the Indian trend (*Dawn*, 2015).

DARAZ.PK: Company Background

Daraz was incubated by Rocket Internet (RI), a company based in Berlin, which provided the initial angel investment and oversaw the business performance. RI, the world's largest incubator of internet companies, invested in internet start-ups in newly emerging and fast-growing markets and transferred proven business models there. Daraz.pk, the first e-commerce shopping portal in Pakistan, was launched by RI in 2012 with just five employees. RI and its two primary incubator investors, Oredoo.com and CDC Global (a UK government investment Bank), had an equal percentage ownership of Daraz. It started as an online fashion retailer selling apparels (clothes, footwear and accessories) from the inventory it owned.

Muneeb explained the reason behind focusing on apparel:

> One may think that the online content may not be sufficient for apparel purchase decisions as the feel of the product is important. Contrary to this, the highest sale through e-commerce is that of clothes. … One reason is the trust in the brand. Secondly, customers know that if the apparel doesn't fit well, the e-commerce venture will accept the return or an exchange. … The first online purchase of a customer is most likely to be that of clothes, not a phone. A fashion item is a much easier online purchase than electronics.

Nevertheless, there were limitations in the apparel business primarily because the target audience was very small—it consisted of only those people who wore readymade outfits from within a population that predominantly bought unstitched clothes of several types, qualities and brands.

Daraz secured a re-capital in 2014 based on its KPI performance, but with a condition to grow its market. It subsequently changed the online platform to add General Merchandize (GM), mostly consisting of higher value electronics. The electronics inventory; though, had a high risk of depreciation and was expensive to maintain. To mitigate against the financial burden of owning the inventory, Daraz restructured its business model to operate as a 'marketplace' where sellers could set up virtual stores at Daraz.pk by listing their products and setting prices. This allowed Daraz to charge a commission for every sale made through its website without owning the inventory. The commission rate, which was strictly followed, varied from category to category, for example, 5 per cent for a mobile phone and 30 per cent for an apparel product, while the delivery charges were paid by the customers separately. What served as a bargaining chip for large brands was that instead of getting commission discounts, they were offered online advertisements and promotions for their products.

In 2016, with a prime focus on customer penetration, there were around 500 people employed at Daraz. Its sales increased fivefold within 2 years. Daraz had a wide customer base with roughly 250,000 visits on the website every day, translating into 1,500 or so daily sales in more than 200 cities. At the same time, Daraz faced heightened competition from various new entrants into the e-commerce industry, including one of Daraz's third party logistics (3PL) partners. Daraz's long-term vision was to become the destination for product search in the country based on the online content and trust such that a customer could get quality information regarding any product. Muneeb had a view that 'when Daraz becomes the destination of product information, even if one out of a hundred visitors purchases, that would be sufficient'.

Customers

Daraz considered all internet users in the country as potential customers. Majority of the customers; though, were concentrated in Karachi, Lahore and Islamabad. The proportion of male and female customers was around the same; however, the proportion differed from segment to segment. For example, there were more women keen on buying fashion products, while electronics were mostly bought by men. According to a survey, convenience was the biggest factor for the customers to shop at Daraz, followed by the prices and varieties.

Broadly, Daraz had five types of customers. There were people for whom the prices were the driving factor to visit Daraz. As wholesalers, importers and brands were directly selling on Daraz, the prices were generally low. Daraz actively monitored the listed prices to ensure that the prices remained competitive. Customers were also able to compare the prices offered by different sellers of a product on the website. The second type of customers comprised people who were attracted by the assortment. Daraz could be seen as a virtual mall. 'Customers are able to find more products on Daraz than they are able to find in a major city mall', according to Muneeb. 'Inevitably, Daraz is competing with malls,' he added. Daraz had thirteen major product categories, 1,200 or so subcategories, and, in total, around 80,000 stock keeping units (SKUs), out of which around 20,000 SKUs were related to fashion (Figure 4). The third category of customers were the ones who did not live in Karachi, Lahore and Islamabad (Tier 1 cities as Daraz called them) and had no access to the assortment or product range that the customers in Tier 1 cities had through malls and retail stores (Figure 5). Fourth, there were customers who were interested in getting the desired product before it was available in the market. For example, if Samsung had released a new phone model, the customer could get it through Daraz before it was available elsewhere. Finally, there was a class of customers who wanted to avoid the hassle of purchasing items on sales and launch events at stores. Some recent sales and launch events of female apparels at stores had been very disorderly. When Sana Safinaz, a prominent women apparel brand, launched its lawn (type of apparel) collection, the online sales of that very collection on Daraz exceeded Sana Safinaz's own sales.

Product Selection

'Only an authentic product qualified to be sold on Daraz.pk, in contrast to what was being sold in most of the online markets in the country, which, was grey'[1]—Muneeb. Daraz differentiated itself by offering only the genuine and non-smuggled products with warranties from the brands or the official distributors. A potential seller offering authentic products could register on the website and go through the vendor management procedure for induction. Daraz also closely followed the trends to decide which product categories should grow or be added, and targeted sellers, accordingly. From time to time, sellers were encouraged through vendor management teams to sell those items and products that made it to the top-selling categories. There was also a preference for sourcing products exclusively on Daraz.

WOMEN'S FASHION

CLOTHING
Kurtas & Shalwar Kameez, Unstiched Fabric, Tops, Pants & Tights & Innerwear

WOMEN'S ACCESSORIES
Jewellery, Watches, Bags & Sunglasses

WINTER WEAR

SALE

PHONES

SMART PHONES
All Brands, Infinix, Apple, Samsung, InnJoo

FEATURE PHONES

MOBILE ACCESSORIES

MEN'S FASHION

CLOTHING
T-Shirts, Shirts, Polo Shirts, Jeans & Kurta & Shalwar Kameez

SHOES
Casual Shoes, Formal Shoes, Sandals & Slippers & Boots

WINTER WEAR
Hoodies, Sweaters & Sweatshirts

OTHER
New in & Sale

ACCESSORIES
Watches, Wallets & Cardholders, Ties & Cufflinks & Sunglasses

HOME & LIVING
Kitchen & Dining, Home Décor, Furniture, Bedding, Bathing, Lighting, Storage & Organization, Outdoor & Garden & Home Repairs

BEAUTY & PERFUMES

MAKE UP
Face, Eyes, Lips

PERFUMES
For Women & For Men

BATH & BODY
Cleanses & Lotions & Hair Care

HANDS, FEET & NAIL CARE
Manicure & Pedicure & Nail Polish & Scessories

MENS GROOMING
Skin Care & Hair Care

SPORTS & FITNESS

EXERCISE & FITNESS
Small, Large Fitness Equipment & Fitness Nutrition

SPORTS WEAR
Men, Women & Kids

SPORTS EQUIPMENT

KIDS' FASHION

KIDS FASHION
Girls, Boys Fashion & Kids Accessories

BABY
Baby Care, Baby Feeding & Baby Bottles & Accessories

TOYS
Educational Toys, Cars & Remote Control Toys, Action Figures & Statues, Baby Toys & All Toys

TABLETS & ACCESSORIES
3G, Wi-Fi & Accessories

APPLIANCES

LARGE APPLIANCES
Cooling & Heating, Refrigerators & Freezers, Washers & Dryers & Cooking Appliances

SMALL APPLIANCES
Blenders & Mixers, Ironing & Laundry, Beverage Preparation & All Small Appliances

COMPUTING

LAPTOPS
Convertible & Detachable

STORAGE DEVICES
External Hard Drives, USB/Flash Drives & Memory Cards

BEST LAPTOP BRANDS
HP, Lenovo, Dell, Apple & All Brands

PRINTERS & SCANNERS

PERIPHERALS & ACCESSORIES

TVs, AUDIO & VIDEO

TV & HOME THEATERS
LED & LCD TVs, Smart TVs, Home Theaters & DVD Players

AUDIO
Speakers, Headphones & Earphones & iPod & MP3 Players

MUSICAL INSTRUMENTS

OTHER CATEGORIES

VIDEO GAMES & CONSOLES

CAMERAS & ACCESSORIES

SALE
Men's Sale, Kid's Sale & Women's Sale

BOOKS & STATIONERY
English Language, Urdu Language & Stationery

PREMIUM
Women's Premium & Men's Premium

Figure 4. Main Product Selection on the Website

Source: Daraz.pk website.

Website Management and Marketing

The basic online system which was the core infrastructure of the website came as a standard from RI; however, there was no strict framework that Daraz had to follow to build on. Daraz acquired the services of Portugal and Germany based RI ventures for the development and maintenance of its online system. The content and product descriptions on the website were looked after by an in-house content team controlling the online content quality.

The overall placement on the website (Table 1) generally matched the customers' buying pattern, such that the high selling items were placed at the top, thereby getting a more visible spot. Besides high sellers, new products and fashion items also had prominent places on the website. To get the new sellers early business, their products were highlighted under the 'new arrivals' section on the main webpage. Daraz was still

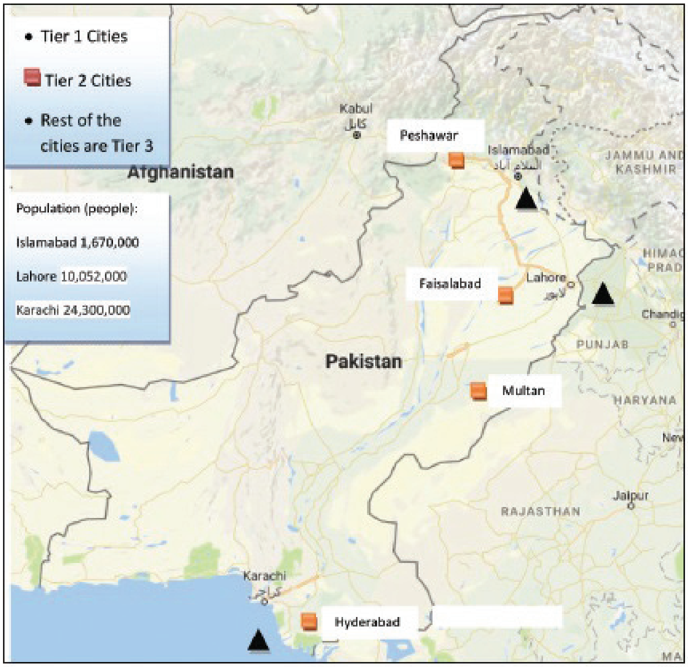

Figure 5. Country Map

Source: Google Maps.

Table 1. Website Layout

<table>
<tr><td rowspan="2">Access to product categories</td><td>Search</td><td>Help</td><td>Account</td><td>Basket</td></tr>
<tr><td colspan="2">Promotions</td><td colspan="2">Payment information, information for potential sellers and mobile application download</td></tr>
<tr><td colspan="5">Latest offerings, brands and signup option</td></tr>
<tr><td colspan="5">Recommended products</td></tr>
<tr><td colspan="5">Women's fashion</td></tr>
<tr><td colspan="5">Men's fashion</td></tr>
<tr><td colspan="5">Phones and tablets</td></tr>
<tr><td colspan="5">TV, audio and gaming</td></tr>
<tr><td colspan="5">Home products and appliances</td></tr>
<tr><td colspan="5">Computing</td></tr>
<tr><td colspan="5">Beauty products and fragrances</td></tr>
<tr><td colspan="5">Kids and baby products</td></tr>
<tr><td colspan="5">Watches</td></tr>
<tr><td colspan="5">General company information, contact and customer service chat option</td></tr>
</table>

Source: Daraz.pk website.

keen on its 'fashion identity'. Services of the stylists with authority in fashion were acquired to recommend fashion trends and combinations to the customers. Though, the seasonal factors were accommodated on the website, frequent and radical layout changes were avoided to maintain consistency.

With less than 5 per cent of the marketing effort offline, Daraz's marketing push was online, enabling it to keep a detailed track of the marketing impact. For example, it could know how many people saw an advertisement and how many clicked on it to visit the website. Social media marketing was the main component of online marketing. Social media account holders were targeted by showing online ads based on their personal interests and search histories. If a user had only searched for a product, the searched product was advertised to the user; if the user had filled the basket but not made a purchase, the user was sometimes offered discounts; if a user had made a purchase, the user was shown ads for complementary products.

Vendor Management

Interaction with a typical seller started from the acquisition stage, Daraz conducted customer and employee surveys to gauge brands and products for inclusion in the online listing. An acquisition team was then responsible for getting the new sellers on board. The established brands were approached for business by the acquisition team with information on the logistics models, payment and return policies, commission structure and, in order to highlight business potential, the sales data. Getting the well-known brands on board was considered more important because 'when the tier 1 brands are on-board, the tier 2 brands automatically follow,' explained Rizwan Rafique, the head of sourcing and partner support at Daraz. Many sellers approached Daraz on their own.

The role of incubation team started once the seller signed the contract. The incubation team was responsible for the sellers' training over 4–8 weeks to operate on Daraz's platform and to facilitate the synchronization of the sellers' operations with that of Daraz's. The sellers were trained in order to familiarize them with Daraz's system and policies. The key component of the incubation phase was the training given for using the seller centre tool (RI product—Figure 6). Seller centre was a web-based enterprise resource planning (ERP) system that provided an end-to-end seller shop management system—a virtual shop for each seller. The seller centre allowed a seller to list products, view and track orders, set product prices, view sales summaries, generate account statements and update stock levels. For some of the major brands, it was the team who uploaded the entire assortment. The team also linked the sellers to Daraz's photography team, having an in-house studio, in case the sellers did not have reasonable photographs for their products. After successfully going through the incubation period and training, sellers received a graduation certificate from a so-called seller centre university to make it more ceremonial and authentic.

How a particular seller was supported after the incubation period greatly varied, depending on whether the seller was classified as strategic or non-strategic based on the revenue contribution. The non-strategic (or long-tail) sellers comprised around 80 per cent of the total sellers and contributed merely 20 per cent to the revenue. The rest were considered as the strategic sellers. Once a strategic seller was self-capable in terms of processing orders with appropriate speed, the seller's point of contact was established within the vendor management team, which included vendor managers, each liaising with nine to ten strategic sellers. The team's role was to build relationships and to create opportunities of mutual benefit by emphasizing Daraz's and its sellers' strengths, respectively. They focused on utilizing the potential of the sellers, for example, by getting the right products and promotions and taking value from Daraz for the sellers, for example, by online marketing promotions or by providing logistical services. The 3,000 or so non-strategic sellers, on the other hand, were supported by a call centre setup, where they could call for a consultation in case of an issue.

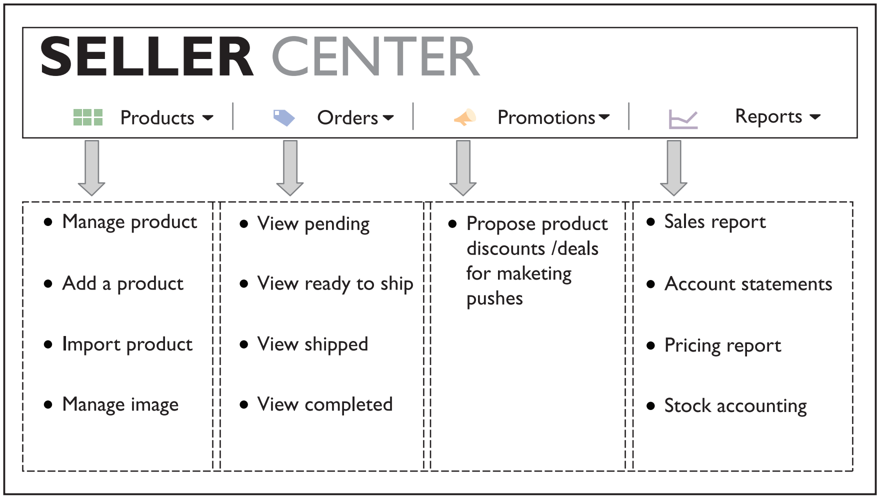

Figure 6. Seller Centre: Main Options

Source: Daraz.pk website.

The fourth team in the vendor management was the vendor operations team. This team monitored operations (service delivery) in the whole chain, from order generation to the order processing. The team made sure that orders were picked up and delivered to customers in a timely manner, and in the case where an order was returned, the team monitored reverse logistics. If the delivery process was affected by an abnormality in the chain, the vendor operations team took up the matter with the seller, logistics provider and/or the warehouse, for a resolution. As described by Rizwan, 'the team's role is to police the supply chain'. The core focus was on fulfilling the orders in a timely manner and strictly avoided order cancellations.

Sellers could be delisted based on constant delays and order cancellations. Order cancellations stood at 3 per cent of the orders which was the orders, were the major reason for a drop in customer satisfaction. The risk of being delisted, which could happen after five order cancellations, made the small (non-strategic) sellers update their stocks to prevent cancellation. With the strategic sellers, Daraz shared an application program interface (API) to link their internal product information and inventory management system with the seller centre for real-time stock visibility. The second major reason for customer dissatisfaction was a delay in order fulfilment. To control this, Daraz cancelled an order if it was not dispatched within 2 days, providing the customer with benefits such as discount vouchers or a better replacement of the ordered item without an extra charge. Though, Daraz did not place rigid criteria for sellers to start selling on Daraz, the sellers were strictly monitored and the underperformers were constantly delisted. On an average, four to five delisting took place on a daily basis.

Logistics Management

Daraz's logistical operations were managed by AIGx, an RI company itself. AIGx integrated a network of logistics providers to provide e-commerce companies with solutions for order fulfilments, with real-time tracking. As described by Umer Gul, the head of logistics at AIGx, 'We are the marketplace for 3PL providers'. There were multiple 3PL providers listed with AIGx to choose from for a logistics job. The AIGx team managed seller pickup, seller returns, customer delivery and customer pickups.

Table 2. Transportation Roles: Managed By Aigx

	Tier 1 City	Tier 2 or 3 City
Pickup from seller		
Delivery at customer	Daraz or 3PL provider	3PL provider
Return at delivery		
Return after delivery	Customer dropped the item at a 3PL provider's facility for being channelled back	

Source: The authors.

The transportation was conducted by Daraz's own fleet of forty-five riders, deployed only in Tier 1 cities, or through 3PL providers Tranzum courier services (TCS), Leopard and Overseas courier service (OCS), employing around 4,000, 3,000 and 700 couriers, respectively (Table 2) and having more or less the same regional coverage. Daraz's own fleet was also used as 'test labs' to experiment on different strategies for fulfilling orders. The learnings from these experiments were then passed on to the 3PL partners as well.

Daraz had warehouses in Tier 1 cities which were Karachi, Lahore and Islamabad; thereby, maintaining two types of seller owned inventories: first, the fast-moving products, which Daraz wanted to stock at the warehouses to achieve shorter delivery lead-times and second, the inventory maintained as a premier service for the strategic sellers who were reluctant to take up a bigger role in the delivery process. Of the total, 80 per cent of the inventory was maintained in Karachi, 15 per cent in Lahore, leaving Islamabad's proportion minimal. None of the items were kept at the warehouses for more than 45 days, that is, items not sold within 45 days were returned to the sellers. The warehouse operations were divided into four functions: receiving (responsible for offloading), inbound (responsible for barcoding), inventory (responsible for storage) and outbound (responsible for order preparation and dispatching). Regardless, the team for each function was cross-trained to perform different jobs at peak load times.

Logistics Models

After an order was placed at Daraz.pk, the package had to be prepared at one of Daraz's warehouses or a seller's facility depending on the particular logistics model that applied to the corresponding seller. A fulfilment from a Daraz warehouse was done through the consignment model (Figure 7), while it was either done through the cross-dock model (Figure 8) or the drop-ship model (Figure 9) from the seller's facility. The operational responsibilities greatly varied within the three logistics models (Table 3).

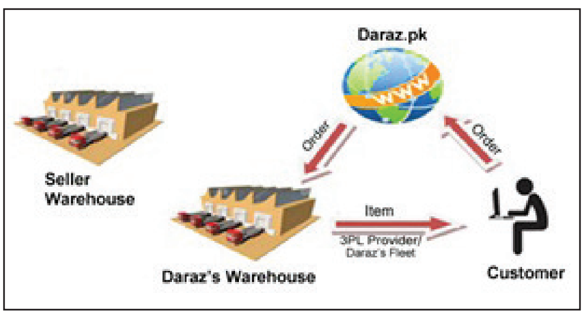

Figure 7. Consignment Model

Source: The authors.

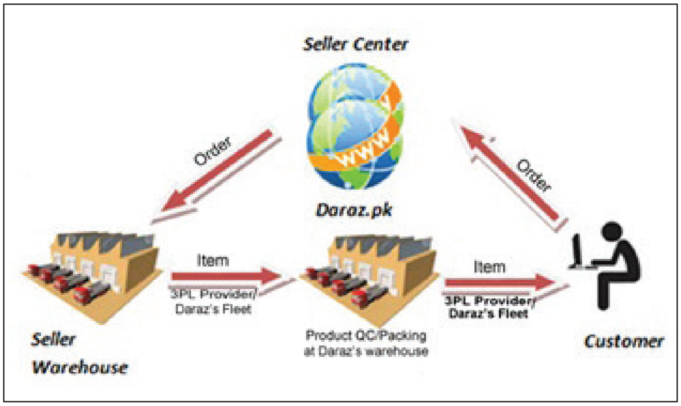

Figure 8. Cross-dock Model

Source: The authors.

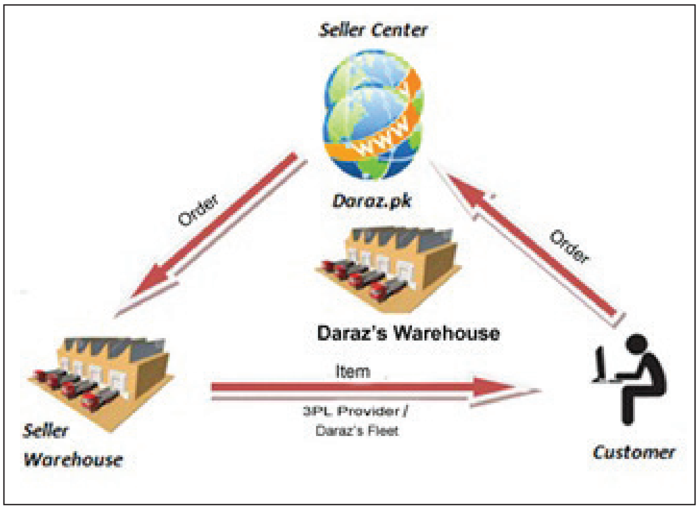

Figure 9. Drop-ship Model

Source: The authors.

Table 3. Responsibilities Under Different Logistics Models

Model	Storage	Packing	QC	Delivery	Returns
Pure drop-shipping	Seller	Seller	Seller	AIGx	AIGx
Managed drop-shipping	Seller	AIGx*	AIGx*	AIGx	AIGx
Cross-docking	Seller	AIGx	AIGx	AIGx	AIGx
Consignment	AIGx	AIGx	AIGx	AIGx	AIGx

Source: Company records.
Note: *At seller warehouse (resourced deployed at seller warehouse).

Under the consignment model, when an order was received, the requested item was added to the pick list queue at a Daraz warehouse, picked from the inventory, packed and then shipped by the outbound team. Orders were processed on the same day and handed over to the company rider or the 3PL courier.

The cross-dock model was used for all sellers who were not yet designated as the trusted sellers, that was, for those sellers who were either new or had negative reviews. When an order was placed, the item was picked up from the seller's warehouse and underwent an extended operational cycle involving inspection, packaging and sealing at Daraz's warehouse by its team before the delivery (Figure 10).

Under the drop-ship model, the trusted sellers, who got this status based on their past working history with Daraz, prepared and packed the ordered items on their own. The vendor operations team coordinated with the sellers and AIGx to ensure that the orders were packed and delivered as required. Once the seller had notified that the ordered item was ready, a rider from Daraz or a 3PL provider was arranged to pick up that item in a sealed form for direct customer delivery (Figure 11). For deliveries from and to the cities, other than the Tier 1 cities, the sellers had an option to drop the item to a 3PL hub. This relieved them from adhering to a fixed pick-up time.

A slight variant of the drop-ship model was the managed drop-ship model in which, as an added service for strategic sellers, Daraz had resources deployed at the seller's warehouse for packing and quality control.

Evolution of Logistics Model at Daraz

Daraz started with the consignment model, which offered more reliability and control while reducing the reliance on the sellers' operations. For example, Daraz could commit to the same-day delivery in Tier 1 cities from its warehouses, but it could not afford to rely on the processing at the sellers' warehouses to do this. Besides delivery time, the other realized advantages were the better visibility of the stocks and quality control. However, the major drawback was the strain of maintaining inventories in-house. To overcome this, the cross-dock model was introduced, which allowed a control on quality, while leaving the stock control with the sellers. The cross-dock model; however, stretched the fulfilment chain resulting in a compromise on the fulfilment responsiveness. The latest induction was the drop-ship model in which the trusted partners took a higher level of responsibility, relieving Daraz from inventory management, quality inspections, packing and even forwarding. The quality was an issue under the cross-dock and drop-ship models, which Daraz wanted to solve by training the sellers through the rejections that their

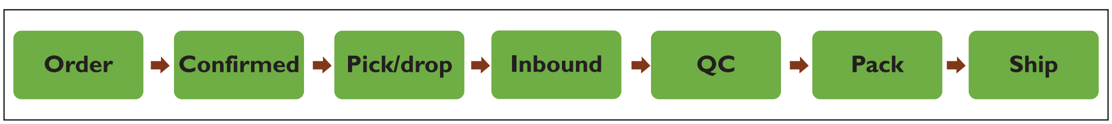

Figure 10. Cross-dock Model Flow

Source: Company records.

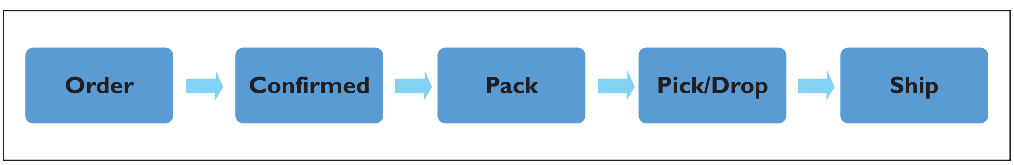

Figure 11. Drop-ship Model Flow

Source: Company records.

items received upon delivery, and further delisting them after a certain threshold of rejections. In some cases, the drop-shipping sellers who could not control the return rates were asked to adopt the cross-docking model.

With all three models operational, Daraz preferred the drop-ship model and was seeking to fizzle out the consignment model. The target was to delegate the stocking and quality control responsibilities to the sellers while focusing on the online monitoring of the fulfilment chain. As of now, 35 per cent of the number of orders were being fulfilled through consignment, around 50 per cent through cross-docking and around 15 per cent through drop-shipping (percentages around the same in terms of value). Overall the factors that influenced the selection of a logistics model included fulfilment reliability, the percentage of SKU selling, quality control (QC) issues, and, in cases of strategic sellers, willingness to pack and control the process. The commission structure did not depend on the logistics model and there were no charges for packing and forwarding services. However, Daraz was deliberating on charging for different activities under the consignment and cross-dock models as value-adding services.

The Last Mile

For the last leg of the delivery to the customer, the riders decided the delivery routes on their own, considering the timing and location requirements of the customers. Close to the expected delivery time, the customer was sent a text message that they should expect their delivery and have the payment ready. The rider stayed in touch with the customer through his mobile phone while delivering the order. Special training on customer dealing was provided to the riders from both Daraz and 3PL partners to emphasize the priority of customer satisfaction. Customer satisfaction was measured through an SMS service called ‘DSat’ (delivery satisfaction) in which a message was sent to customers asking about their delivery experience. A customer submitting a poor DSat score was contacted by Daraz to determine and establish whether the dissatisfaction was due to the delivery person (identifiable against the order number), or the overall experience. These insights from unsatisfied customers were compiled and shared with Daraz’s own riders and the 3PL providers.

Payments

The payment methods accepted by Daraz were cash on delivery (CoD), swipe on delivery (credit or debit card swipe on a handheld device), online payment via credit or debit cards, payment through Easypaisa[2] (Figure 12), online bank transfer and payment through ATM (Figure 13). A payment, through any method, was passed on to the seller after deduction of the commission by Daraz within 30 days; Daraz took a 30-day credit from the sellers. This stringent policy, according to Rizwan, only worked because of the trust that Daraz could generate significant sales.

Owing to only 7 per cent of the population having a debit or credit card and lower levels of online fraud protection and transaction flexibility, around 97 per cent of the payments were through the CoD method. CoD resulted in a higher cost, a higher supply chain complexity and a safety risk, as the riders had the extra responsibility of collecting the cash, keeping the change and depositing the amount (Deloitte, 2014). The revenue realization time was longer, unlike the electronic payments, the amount of transfer was not instantaneous.

Returning/Rejected Orders

If the customer did not open the item at the point of delivery and refused to accept it, the item was taken back by the rider and returned to the source warehouse through the delivery cycle in reverse. Otherwise, the customer had a 7-day window to return the purchased item by informing the customer service. The item to be returned was picked up by a Daraz rider in Tier 1 cities, whereas in other cities, it had to be dropped by the customer at one of the more than 800 TCS outlets for TCS to handle the return.

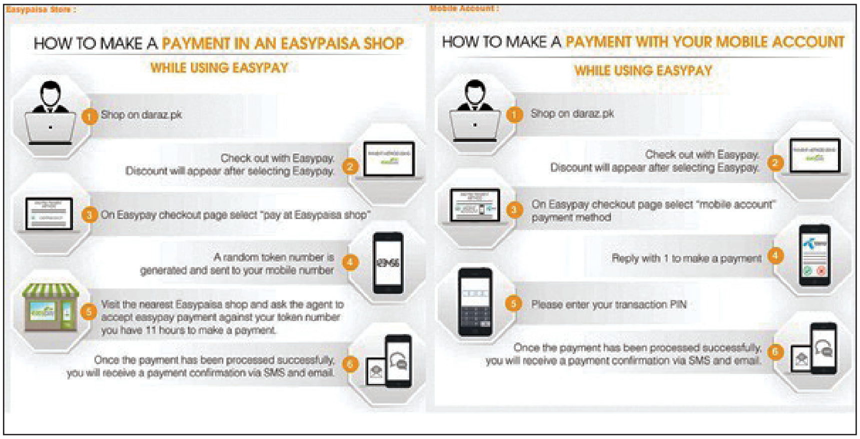

Figure 12. Payment Through Easypaisa Option

Source: Daraz.pk website.

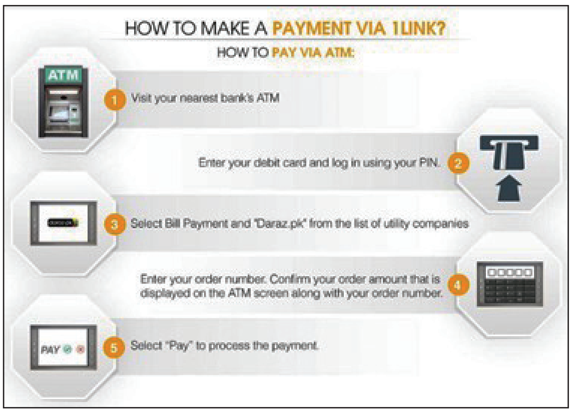

Figure 13. Payment Through ATM

Source: Daraz.pk website.

There was a 30-day window for the returned item to reach the seller. With regards to the return of an item that was already paid for, the customer could get a refund (through vouchers or a bank transfer), or a replaced item delivered instead.

Returns were a minor issue at Daraz. As mentioned by Mahvash Khan, the head of vendor management (Fashion), 'an overwhelming percentage of returns were genuine; a lot better than in the comparable countries'. Due to this reason, returns, which were allowed within 1 weeks' time, were accepted without the customer's need to pay any extra charges. However, Daraz was reconsidering this approach and was deliberating on introducing an inspection process to determine whether the reason for return was genuine or not.

Performance Measures for 3PL Providers

The 3PL providers were evaluated on the basis of success rate (the rate of deliveries made on time and to the right address), cash cycle (time to return the cash to Daraz), cost effectiveness (delivery charges) and customer satisfaction (Dsat scores). These factors were included in a scorecard, which helped pick the best delivery partners for a specific job. The scores for the 3PL partners, based on a weighted average of the factors, were determined on a city to city basis every month so that the best 3PL provider was employed for each city.

Black Friday

Daraz kept itself in the limelight by organizing different promotional events. One of these was the Black Friday[3] event, which proved to be very successful and a rather challenging experience for Daraz's logistics. The event was used by retailers and manufacturers internationally to liquidate their inventory through discounts before introducing new products and models. In Pakistan, there was no such sale day event. Daraz realized that if it came up with a unique sales day, then it was highly unlikely that anyone would copy it, leaving it to be the only one advertising and celebrating the day. There would have been no reciprocation to make the day big. Therefore, Daraz opted to go with Black Friday in the hope that sellers and brands would start adopting this international event, online and offline.

The marketing and PR campaign was divided into four phases: education, announcement, hype and event launch. The campaign started by educating people about the concept of Black Friday. A contest, which was launched on social media to test users' knowledge, revealed that a lot of people already knew about Black Friday. The education and awareness phase was followed by an announcement of the launch and the magnitude of discounts on different categories to create hype and excite the customers. The message before the launch entailed getting rid of the old products and buying new ones at a highly discounted rate.

Bringing Partners on Board

The sellers were informed that Daraz was going to carry out extensive marketing of the event and a high flow of traffic was expected on the website, which would, in turn, help to liquidate their inventories. They were asked to offer large discounts on the inventory that was idle while judging the event on volume rather than profit per unit. A simple guess was that the order volume would be six to seven times as much as what it was on an average, though there was no past information refer to forecasting. Around 20,000 products were discounted, with some sellers keeping only 0.1 per cent margin to liquidate their stocks. A major electronics brand offered a 40 per cent cut on the market price for some products. Daraz also engaged Telenor to offer a further 10 to 25 per cent discount if a customer used the payment mode of Easypaisa.

Logistics

The logistical preparation, which spanned over 3 months, included auditing sellers' inventory levels to ensure that the committed volumes were stocked and continuously updated the 3PL partners about the personnel and vehicle requirements. The cross-dock model was employed for fulfilments in which Daraz's entire fleet engaged in the pickups from sellers, whilst the deliveries at customer locations were handled by the 3PL partners, who had their teams stationed at Daraz's warehouses. The 3PL partners also provided dedicated vehicles so that the items could be processed and sent out throughout the day as the orders were received, as opposed to being accumulated at the warehouse. The normal practice was to have two pickups by the 3PL partners every single day (one in the morning and one in the evening).

Challenges

On the day of the actual event, Daraz had anticipated 6,000–7,000 orders, but it ended up receiving around 70,000 orders. The website crashed several times because of heavy traffic; however, the system was restored promptly by the offshore support teams that were on standby 24 hours for the event. The number of orders obtained was overwhelming and it became operationally very difficult to fulfil the demand. The 3PL partners were asked to provide dedicated vehicles and teams for 7 days rather than what had been originally communicated to them; 2 days. The scorecard that helped pick the best delivery partners for a specific job was suspended. Handling the unanticipated high volume of bulky orders posed as another challenge, which impacted the physical space available at the warehouses and required trucks in lieu of smaller pickup vehicles normally used for transportation. Deliveries for the orders on Black Friday were still being made even 40 days after the event. There were also many quality rejections and several products got damaged while being transported. The customers who had paid in advance for their orders became anxious because of delays and cancellations.

Learning

There were several things that Daraz learned from the Black Friday event. Logistical capacity was realized as the main issue, which could have been managed more efficiently, had the forecasts been better and more buffer stock had been maintained. The workload was heavy and excessively tiring for the teams working at the warehouse, something that could have been handled by contingency teams sourced from contractors. Besides, Daraz could have been relieved from some of the packing and forwarding if the drop-ship model was adopted where it was workable. Finally, there were instances where a bulky package was shifted to Islamabad from Karachi rather than locally or from Lahore, which was also nearer. Disaggregation of forecasts into regional forecasts could have also allowed better logistical planning.

Decision

There was an influx of online businesses in Pakistan and an expectation that the internationally established players would soon join in with their wide assortment. There were already several social media web pages selling imported items. Recently, one of Daraz's 3PL partners had also launched an online retail platform Yayvo.com, 'Yay' meaning 'this' and 'vo' meaning 'that' in the national language, Urdu. The name suggested that a customer could either get the products directly from the website listing (Yay) or get any non-listed product sourced locally or internationally (vo) through them. Muneeb was eager to include international brands on Daraz in fear of losing the foothold, but the question for him was 'how'. The interplay of options for this and the logistics models at hand had several implications. Logistically, the push was for the drop-ship model, which was cost efficient and passed on several responsibilities to the sellers. The other extreme was the consignment model from which Daraz was moving away, although it provided a higher level of control over quality and responsiveness. If Daraz was to directly import from the international brands, then it would have to pay the duties and own the inventory, incurring significant financial strain. If the brands hired local distributors who imported the items, then Daraz could apply any of its existing logistics models to source from the distributors without owning the inventory. However, that could extend the supply chain and add extra costs. Finally, if brands imported the inventory in Pakistan and let Daraz sell it, then Daraz would have to operate on the consignment model. Bypassing the distributor, this option could provide the brands with direct access to the market, while Daraz could exclusively list the products. The difficult part would then be to convince the brands to import and own the inventory.

Declaration of Conflicting Interests

The authors declared no potential conflicts of interest with respect to the research, authorship and/or publication of this case.

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Notes

1. Grey market is a market where products are bought and sold other than the manufacturer's authorized trading channels.
2. A digital payment system offered by a telecom company Telenor. The system provided a way to pay in advance without a credit/debit card or a bank account.
3. Black Friday has its origin in the US where it is celebrated with sales on the day after the Thanksgiving Day. It is unofficially the start of the holiday shopping season. The 'Black' portion of the name 'Black Friday' relates to business reporting their losses in red ink and gains in black.

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